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| CASE #      | CASE NAME                                     | HEARING NAME                         |
|-------------|-----------------------------------------------|--------------------------------------|
| CVRI2502741 | BACA vs<br>ORANGECREST PONY<br>BASEBALL, INC. | DEMURRER ON 2ND AMENDED<br>COMPLAINT |

**Tentative Ruling:**

**Summary of Ruling:** The Court sustains the demurrer without leave to amend.

**Factual / Procedural Context:**

Plaintiff, Krystal Baca, alleges Defendant, Orangecrest Pony Baseball, Inc. is a California public benefit corporation that was suspended by the Franchise Tax Board (FTB) and delinquency with the Attorney General's Charitable Trust Registry, but continued to operate, collect registration fees, and solicit public sponsorships. The individual Defendants all allegedly acted as de facto directors without valid elections, in violation of the nonprofit's own bylaws. Plaintiff alleges that the Department of Justice denied the league's 2025 raffle registration due to chronic noncompliance, but Defendants continued to conduct raffles and failed to report the proceeds to the IRS. They also allegedly failed to report snack bar revenue, raffle income, board member compensation, umpire payments, or field permit costs; and, employed umpires, including minors, without providing workers' compensation coverage and misrepresented their coverage status to the City of Riverside through a signed waiver form, among other misconduct. After demanding transparency, Plaintiff was removed as a coach and her minor son was excluded from All-Star participation.

Plaintiff filed her operative Second Amended Complaint (SAC) alleging two causes of action: 1) declaratory relief (CCP § 1060; Corp. Code § 5341); and, 2) violation of member inspection rights (Corp. Code §§ 6333, 6336, 6337).

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Counsel for Defendant, Orangecrest Pony Baseball, Inc. (Orangecrest), David Davidson, filed a meet and confer declaration in compliance with CCP § 430.41. Specifically, Mr. Davidson declares that on 6/19/26 at 6:00 p.m., he discussed the issues regarding her claims in the SAC by phone but, no resolution was reached. (Dec. Davidson ¶¶ 5-7, 9.)

Defendant, Orangecrest, brings this demurrer to the entire SAC and each cause of action in the SAC for lack of legal capacity to sue, failure to state facts sufficient to constitute a cause of action, and for uncertainty. (CCP § 430.10(b), (e), (f).) Orangecrest argues that Plaintiff lacks standing to sue because her claims are derivative, Plaintiff is not a member of Orangecrest, and no facts are alleged against Defendants in their capacities as officers; that her claims are time-barred; and that Orangecrest's response to Corp. Code § 6333 satisfied its obligation to permit inspection.

Plaintiff opposes the demurrer arguing that her claims are not derivative as she seeks a declaration about her own member status/termination and enforcement of her inspection demand; that there is an actual controversy about her member status, termination validity, board authority, player member procedure, and the effect of termination on her inspection rights; that she seeks inspection for a proper purpose; and, that links to tax returns are not the same as allowing inspection of the underlying books.

The Reply asserts that the SAC changes nothing in the prior pleadings and her allegations still rely on the fact that Plaintiff was not a member of Orangecrest with standing to inspect records; that the cause of action based on Corp. Code § 5341 (challenging the validity of the termination) is new to the SAC, does not relate back, and is time-barred; and, re-asserts prior arguments.

## Analysis:

### DEMURRER<sup>1</sup>

#### Standing

A plaintiff must be the “real party in interest” as to the claim sued on. (CCP § 367.) That party is the person with the right to sue; “[i]t is the person who owns or holds *title to the claim or property* involved, as opposed to others who may be interested or benefited by the litigation.” (Weil & Brown, CPG: Civ. Proc. Before Trial (TRG 2026) § 2:2 citing *Gantman v. United Pac. Inc. Co.* (1991) 232 Cal.App.3d 1560, 1566.) “Prerequisites for standing to assert statutory claims are determined from the language of the relevant statute, as well as underlying legislative intent and purpose.” (*Id.* § 2:3.1 citing *Boorstein v. CBS Interactive, Inc.* (2013) 222 Cal.App.4<sup>th</sup> 456, 466.)

The purpose of requiring standing “is to assure that any judgment rendered will bar the owner of the claim sued upon from relitigating.” (*Id.* § 2:4 citing *Cloud v. Northrop Grumman Corp.* (1998) 67 Cal.App.4<sup>th</sup> 995, 1003.) Standing is a threshold issue to be determined by the court before addressing the merits. (*Id.* citing *Boorstein, supra.* at 465.) “A complaint filed by someone other than the real party in interest is subject to general demurrer if the defect appears on the face of the complaint or from matters that can be judicially noticed; i.e., it fails to state a cause of action by the plaintiff because the claim sued upon belongs to somebody else.” (*Id.* § 2:77 citing *San*

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<sup>1</sup> In evaluating a demurrer, the court gives the pleading a reasonable interpretation by reading it as a whole and all of its parts in their context. (*Moore v. Regents of University of California* (1990) 51 Cal. 3d 120, 125). The court assumes the truth of all material facts which have been properly pleaded, of facts which may be inferred from those expressly pleaded, and of any material facts of which judicial notice has been requested and may be taken. (*Crowley v. Kattelman* (1994) 8 Cal. 4th 666, 672). However, a demurrer does not admit contentions, deductions or conclusions of fact or law. (*Daar v. Yellow Cab Company* (1967) 67 Cal. 2d 695, 713). Facts appearing in exhibits attached to the complaint will also be accepted as true and, if contrary allegations appear in the complaint, will be given precedence. (*Del E. Webb Corp. v. Structural Materials Co.* (1981) 123 Cal. App. 3d 593, 606). If the complaint fails to state a cause of action, the court must grant the plaintiff leave to amend if there is a reasonable possibility that the defect can be cured by amendment. (*Blank v. Kirwan* (1985) 39 Cal. 3d 311, 318).

*Bernardino County v. Sup. Ct. (Inland Oversight Committee)* (2015) 239 Cal.App.4<sup>th</sup> 679, 688.) “When a party lacks standing to sue, the action must be dismissed, unless the complaint can be amended by substituting a party who has standing.” (*Id.* § 2:79 citing *Cloud, supra.* at 1004-1011.)

Here, Defendants argue that the entire SAC is an improper derivative action against Orangecrest and its board of directors, which rely on Plaintiff’s *former relationship* as a member of Orangecrest or actions by the individual Defendants in their capacities as board members. Plaintiff alleges in the SAC that she “served as a volunteer youth baseball coach.” (SAC ¶ 5.) She alleges that Orangecrest is a nonprofit public benefit corporation. (*Id.* ¶ 6.) She alleges that on 3/5/25 and on 3/10/25, she formally requested detailed financial records from Orangecrest. (*Id.* ¶¶ 56-57.) Orangecrest responded by referring to its tax returns but, Plaintiff alleged this is not a substitute for the underlying books. (*Id.* ¶¶ 58-59.) Orangecrest did not produce or allow access to the books. (*Id.* ¶¶ 60, 64.) Plaintiff was informed that the Board terminated her membership as of 5/10/25. (*Id.* ¶ 77.)

Defendants argue that Plaintiff’s membership in Orangecrest was terminated so, she lacks standing to bring actions on behalf of the corporation. To the contrary, Plaintiff argues that the SAC does not contain derivative claims but, does contain her *direct claims*, arising from her membership status as of the time she sought Orangecrest’s financial records. Nonetheless, she is a *former* member.

However, Defendants persuasively point out in the Reply that Corp. Code § 5056 defines a “member” for nonprofit public benefit corporations as a person who *currently* holds membership pursuant to a specific provision of the articles or bylaws and that once terminated that person no longer fits the definition.

Plaintiff also argues, for the first time, that her May 2025 termination was “void, ineffective, or insufficient to defeat her inspection rights because Defendants did not comply with” Corp. Code § 5341, the bylaws, notice requirements, or basic record keeping to prove a valid Board vote. (SAC ¶ 88.)

However, Orangecrest asserts that Plaintiff’s membership was terminated effective 5/10/25 before this action was instituted (6/10/25) so, she is a *former* member who lacks standing. Therefore, the demurrer is sustained.

### 1<sup>st</sup> Cause of Action for Declaratory Relief

A declaratory relief action under CCP §1060 requires two elements: 1) a proper subject for declaratory relief; and, 2) an “actual controversy involving justiciable questions relating to the right or obligations of a party.” (*Lee v. Silveira* (2016) 6 Cal.App.5th 527, 546.) The fundamental basis of declaratory relief is the existence of an actual, present controversy over a proper subject. (*Lunada Biomedical v. Nunez* (2014) 230 Cal.App.4th 459, 485.) The “actual controversy” language in CCP §1060 authorizing actions for declaratory relief encompasses a probable future controversy relating to the legal rights and duties of the parties. (*Environmental Defense Project of Sierra County v. County of Sierra* (2008) 158 Cal.App.4th 877, 885.)

The SAC alleges an actual controversy exists regarding her Regular Member status, the validity and effect of the May 2025 termination, the validity and effect of the children's Player Member exclusion, and whether Defendants may rely on the May 2025 termination to defeat inspection rights arising from written demands made on 3/5/25 and 3/10/25. (SAC ¶ 98.) She acknowledges that her membership ran through 7/31/25 and was terminated effective in May of 2025. (*Id.* ¶ 99.) She alleges that Orangecrest did not comply with the fair and reasonable procedure required by Corp. Code § 5341, failed to follow bylaws, and improperly excluded her children. (*Id.* ¶¶ 100-102.) The SAC seeks a *past* judicial declaration that Plaintiff was a Regular Member on 3/5/25 and 3/10/25 when she made her inspection requests; that the May of 2025 termination was void, ineffective, and insufficient to defeat her inspection rights; that the Board failed to follow the bylaws as to her termination and her children's exclusion; and that her March of 2025 inspection rights must be treated as valid. (*Id.* ¶ 103.)

Based on these allegations, there is no *present and actual controversy* between Plaintiff and Orangecrest. Plaintiff is a *former member* of Orangecrest. And, she seeks a present judicial declaration of past conduct.

In addition, the SAC does not allege facts showing that Orangecrest did not act in good faith and in a fair and reasonable manner when it terminated her membership status. In a nonprofit public benefit corporation, Corp. Code § 5341(a) provides that "no membership or membership rights may be terminated or suspended, except according to procedures satisfying the requirements of this section." A termination "must be done in good faith and in a fair and reasonable manner", which is described in subdivision (c). (Corp. Code § 5341(b).)

Here, Orangecrest correctly points out that Plaintiff did not allege the procedures were not fair and reasonable. The SAC alleges that on 5/12/26 Plaintiff received an email stating a letter from Orangecrest's Board was attached, and informed Plaintiff of the termination of her membership. (SAC ¶ 75.) Plaintiff responded that there was no attached letter. (*Id.* ¶ 76, Ex. 1, ex. D-2 [p. 58 of 125].) She also complained that the termination letter did not identify Board members who attended the 5/10/25 meeting, the number of voting Board members, the motion, the vote tally, the quorum, the agenda, the meeting notice, minute, or written statements reviewed. (*Id.* ¶ 78.) Significantly, Orangecrest points out that Plaintiff was given the opportunity to appeal the termination before the Board on 5/27/25 but, she declined stating she would "not participate in a process that appears to have been initiated for optics rather than integrity." (*Id.* Ex. "1", ex. D-2 [p. 60 of 125].) Thus, Orangecrest persuasively argues that Plaintiff waived her rights under Corp. Code § 5341.

Further, Plaintiff's challenge to membership termination under the Corp. Code § 5341 is a new claim in the SAC, which was filed on 5/29/26. Her membership status was terminated on 5/10/25, more than a year before this new claim was alleged. (Corp. Code § 5341(e) [an action challenging a termination of membership must be commenced within one year of the date of termination].) As a result, it is time-barred.

It should be noted that Plaintiff also claims her children were improperly terminated from Orangecrest but, she has not included them as plaintiffs. Moreover, the children's claims fail because Plaintiff lacks standing to bring their claims, which are also time-barred by Corp. Code § 5341(e). Thus, the demurrer is sustained.

2<sup>nd</sup> Cause of Action for Violation of Member Inspection Rights (Corp. Code § 6333)

This statute provides that the "accounting books and records and minutes of proceedings of the members and the board and committees of the board shall be open to inspection upon the written demand on the corporation of any *member* at any reasonable time, for a purpose reasonably related to such person's interests as a member."

Plaintiff alleges Orangecrest refused to provide financial records and meeting minutes to her and others, despite her demands. (SAC ¶¶ 105-112.) Orangecrest persuasively argues that this statute allows for inspection on written demand of a *member* but, Plaintiff lacks standing (as discussed above.)

In addition, Plaintiff's previously filed petition seeking inspection of records was denied on the ground that Plaintiff was no longer a member when she filed the petition on 11/17/25 and therefore, lacks standing. (see 5/4/26 Minute Order.)

The Court sustains the demurrer without leave to amend, as it is clear to the Court that Plaintiff is not able to articulate "a reasonable possibility that the defect can be cured by amendment. (Blank v. Kirwan (1985) 39 Cal. 3d 311, 318).